

CORPORATE GOVERNANCE REPORT

I. Company's Philosophy on Code of Corporate Governance

The Management aims to achieve its objective of increasing shareholder value while consistently observing the norms laid down in the Code of Corporate Governance. The Management has institutionalized Corporate Governance at all levels within the Company in order to ensure transparency, good practices and a systems-driven style of functioning.

The primary responsibility for ensuring corporate governance within the Company rests with the Board, which has put in place, appropriate policies relating to its membership, deliberations, etc. These policies are in consonance with the requirements of the Listing Agreement and SEBI Regulations.

II. Board of Directors

Composition & Other Directorships

Name of Director	Position	Directorships	Committee Memberships	Chairperson in Committees
Mr. K. V. Aiyappan	Independent, non-executive Chairman	10	2	2
Mr. M. G. Ved	Independent, non-executive Director	2	2	Nil
Mr. Satish Menon	Non-executive Director	Nil	2	Nil

The Company has a mandatory annual requirement for every director to inform the Company about the board/committee member positions he occupies in other companies and notify the changes, if any. None of the Directors of the Company is on more than 10 committees or is the Chairman of more than 5 committees across all companies in which he is a director.

Directors' Remuneration

The compensation of non-executive directors, if payable, is decided by the Board of Directors, subject to shareholders' and other necessary statutory approvals.

The Board adopts the following criteria while deciding on directors' compensations:

1. The directors should possess a high level of expertise and experience in diverse areas like technology, finance, corporate strategy, etc. so that they can effectively contribute to the Company's growth objectives.
2. The directors should not be related to other promoter/ executive/independent directors. Further, they should not occupy any executive positions in competitor companies.
3. The directors should attend and actively participate in all the board and committee meetings and carry out their general responsibilities as directors without

allowing any kind of situation to arise which carries the potential of a conflict of interest

The Company's shareholders in their annual general meeting held on July 29, 2005 have approved payment of sitting fees to the directors for attending meetings of the Board and Audit Committee up to the maximum limit prescribed by the Companies Act, 1956. Presently, the directors receive sitting fees for attending board and committee meetings @ Rs.20,000/- and Rs.10,000/- per meeting.

The Company has obtained Central Government's permission and is currently paying remuneration of Rs.2 lacs per annum to Mr. M. G. Ved for a period of three years effective January 29, 2005, with an annual increase in remuneration @ 25% p.a.

The Company has also obtained Central Government's permission and is currently paying remuneration of Rs. 2 lacs per annum to Mr. Satish Menon for a period of

three years effective February 28, 2005 with an annual increase in remuneration @ 25% p.a.

Meetings

Seven board meetings were held during the year ended March 31, 2006. The board meetings were held on April 20, 2005, June 1, 2005, July 04, 2005, July 29, 2005, September 12, 2005, October 28, 2005 and January 28, 2006. All the information to be provided to the Board in Annexure-1 of clause 49 of the listing agreement was made available to the board.

The Company's Board reviews and takes on record the statutory compliance reports submitted by the Company Management on a quarterly basis.

The Company's Board has laid down a Code of Conduct for all its members as well as members of the Senior Management of the Company. The said Code has been posted on the Company's website. All Board and Senior Management members have affirmed compliance with this Code as on March 31, 2006.

Directors' Attendance Record in Board Meetings held during the year

Name of Director	Meetings held	Meetings attended
K. V. Aiyappan	7	6
M. G. Ved	7	7
Satish Menon	7	7

Directors' attendance in AGM held during year ended March 31, 2006

Date of AGM	K. V. Aiyappan	M. G. Ved	Satish Menon
9.07.05	Present	Present	Present

III. AUDIT COMMITTEE

The Company has constituted the Audit Committee pursuant to the provisions of the Companies Act. The Committee and has all such additional features / functions as contained in the listing agreement.

The terms of reference of the Audit Committee include the objective evaluation of the financial reporting process, recommending the appointment of external auditors, reviewing with the Company Management the annual financial statements before submission to the Board, reviewing the adequacy of the internal control systems/internal audit function, discussing and reviewing the findings of the internal auditors, discussion with external auditors regarding nature and scope of audit as well as having post audit discussion, reviewing the Company's financial and risk management policies.

Necessary powers are vested with the audit committee. Conditions relating to meetings, quorum, etc. have been complied with.

The role of the audit committee comprises all recommended terms of reference as contained in Clause 49 of the Listing Agreement.

All the members of the audit committee are qualified, non-executive directors of the Board. Mr. K.V. Aiyappan and Mr. M.G. Ved are independent members on the Audit Committee.

The Chairman of the Committee, Mr. K.V. Aiyappan is a banker with more than twenty years of experience. The Chairman will be present at the Annual General Meeting to answer shareholders' queries.

Mr. M. G. Ved, member of the Committee is a practicing Chartered Accountant since 1966 and a fellow member of the Institute of Chartered Accountants of India since 1971. He has vast experience in the fields of auditing, finance, accounts & taxation.

Mr. Satish Menon, member of the Committee, is a legal practitioner with vast experience in the fields of mergers, acquisitions, corporate governance, ethical practices & general commercial transactions.

The Company Secretary, who is secretary to the Committee, was present at all the meetings.

Composition of Audit Committee

Name of Director	Position
Mr. K. V. Aiyappan	Independent, non-executive Chairman
Mr. M. G. Ved	Independent, non-executive director
Mr. Satish Menon	Non-executive director

Directors' Attendance Record in Audit Committee Meetings held during the year

Name of Director	Meetings held	Meetings attended
K. V. Aiyappan	6	6
M. G. Ved	6	6
Satish Menon	6	6

IV. Shareholders Investors/ Grievance Committee

The Shareholders / Investors Grievance Committee was formed to undertake responsibilities like redressing shareholder and investor complaints pertaining to transfer of shares, non-receipt of balance sheet, non-receipt of declared dividend, etc. The Company also follows and practices insider trading guidelines.

The Board has delegated powers to its Share Transfer Committee and M/s. Mondkar Computers Pvt. Ltd., Company's Registrars and Share Transfer Agent to attend to share transfer formalities etc. generally once in fifteen days, which are validated by the Share Transfer Committee.

- Name of independent, non-executive director heading the Committee: K. V. Aiyappan
- Name and designation of compliance officer: P. Vidya Sagar, Company Secretary

	No. of cases outstanding as on April 1, 2005	No. of cases added during the year	No. of cases resolved during the year	No. of case outstanding as on March 31, 2006
No. of Investor issues	0	16	16	0
No. of legal cases	0	0	0	0

There were no outstanding complaints pending for more than one month. There were no cases, which were not solved to the satisfaction of shareholders.

The Company's Registrars and Share Transfer Agent, M/s. Mondkar Computers Pvt. Ltd., processes shares sent for transfer transmission etc. in 2 batches every month. Hence the share transfer, transmission etc. are effected within stipulated time. There are no physical shares pending transfer beyond the transfer cycle of 30 days.

V. Management

A Management Discussion and Analysis report has been included in this annual report. During the year under review, there were no instances of any material financial and commercial transactions in which the management had personal interest that had a potential conflict with the interest of the Company at large.

VI. Disclosures

There were no materially significant related party transactions i.e. transactions of the Company of material nature, with its promoters and/or their subsidiaries, Directors or the Management, their relatives, etc., that had potential conflict with the interest of Company at large.

No penalties were imposed on the Company by stock exchanges or SEBI or any other statutory authority on any matter related to capital market during the last three years.

VII. Shareholders' Information

Annual General Meetings

Location and time of last three AGMs held

Date of AGM	Time of AGM	Location
29-Jul-05	4.00 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026
6-Aug-04	4.00 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026
15-Mar-04	4.30 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026

No special resolutions were passed through the postal ballot procedure during the year ended March 31, 2006.

Communication with the Shareholders

The Company informs the shareholders, on appointment or re-appointment of a Director and

provides a brief resume of the Director, his/her expertise and names of companies in which he/she holds directorships and committee memberships.

During the year, all quarterly results were sent to the stock exchange where the Company's equity shares are listed and posted on the company's website (www.mindteck.com). All the quarterly results have been published during the year. The results were published in Free Press Journal and Nav Shakti. The Company's web site also displays official news releases.

Please also refer section on Shareholders' Information in this annual report.

VIII. Compliance

The statutory auditors' Certificate certifying compliance of Corporate Governance conditions as laid down in the listing agreement is annexed.

On behalf of the Board of Directors

K. V. Aiyappan
Chairman

Bangalore
June 26, 2006

SHAREHOLDERS' INFORMATION

AGM: Date, Time and Venue

Monday, 28th August, 2006 at 4.00 p.m. at HAL Convention Centre, Next to HAL Heritage Centre & Aerospace Museum, Post Marathahalli, Bangalore 560 037

Financial Calendar

1st April to 31st March, 2006

Book Closure dates

11th August to 28th August, 2006 (both days inclusive)

Dividend Payment Date

Within stipulated period from the date of the AGM, if declared by the members.

Listing on Stock Exchanges & Stock code Registrar and transfer Agents

The Stock Exchange, Mumbai - 517344
M/s. Mondkar Computer Pvt. Ltd.,
21, Shakil Niwas, Mahakali Caves Road,
Andheri (East), Mumbai – 400 093.

Share transfer System

The Company's Registrars and Share Transfer Agent, M/s. Mondkar Computers Pvt. Ltd., processes shares sent for transfer, transmission etc. in 2 batches every month. Hence, the share transfer, transmission etc. are effected within stipulated time. Transfers/transmission, which are complete in all respects, are processed and the certificates in respect thereof are returned to the lodger/shareholder within 30 days of lodgement.

Dematerialization of shares and liquidity

Effective August 28, 2000 it has become compulsory to trade Company's shares in dematerialized form. Since the shares of the Company are falling under compulsory demat category, the chances of fraudulent interception, etc. have been reduced considerably. The Company continues to receive requests for demat on a regular basis and the same is being facilitated through the Depository Services provided by National Securities Depository Ltd. and Central Depository Services Ltd. The Company, in co-ordination with its Registrars & Share Transfer Agents, M/s. Mondkar Computers Pvt. Ltd. facilitates simultaneous transfer of shares and dematerialization. This reduces correspondence, time and effort of all shareholders by ensuring maximum investor satisfaction and transparency.

Software Development Centers

Bangalore:

501, Cyber Park,
Electronic City, Phase I,
Bangalore 560100.

Kolkata:

Software Technology Park,
SDF Building, Module No.529 & 530,
4th Floor, Sector V, Block EP GP,
Salt Lake Electronics Complex,
Kolkata – 700 091.

Compliance Officer and Registered Office Address for correspondence

P. Vidya Sagar,
Compliance Officer,
Mindteck (India) Limited
501, Cyber Park,
Electronic City, Phase I,
Bangalore 560100.

• **Market Price Data: High, Low of Company's equity shares on the Stock Exchange, Mumbai during each month in the year ended March 31, 2006**

Month	Sensex		Share Price		Trade	
	High	Low	High	Low	No. of shares traded	Value
			Rs.	Rs.		Rs.
Apr-05	6606.41	6134.86	23.10	19.25	26094	560096
May-05	6707.72	6195.15	31.10	18.25	335154	9049182
Jun-05	7151.08	6655.56	50.95	29.65	1500687	67909400
Jul-05	7635.42	7145.13	65.50	44.40	838416	45257507
Aug-05	7859.53	7606.17	61.35	50.90	240098	13441558
Sep-05	8650.17	7876.15	70.05	47.30	403257	25404910
Oct-05	8799.96	7685.64	49.15	31.95	77930	3044904
Nov-05	8994.94	7944.10	46.40	36.30	101054	4353221
Dec-05	9394.27	8815.53	47.00	39.60	81973	3553341
Jan-06	9919.89	9237.53	49.50	41.20	122596	5665439
Feb-06	10565.47	9742.58	41.60	35.05	140938	5621723
Mar-06	11183.48	10508.85	37.95	32.20	152336	5280365

• **Performance in comparison to broad-based BSE Index & BSE IT Index**

Month	Share Price (Rs.) *	BSE Index	BSE IT Index
Apr-05	19.25	6154.44	2355.16
May-05	29.30	6715.11	2745.95
Jun-05	46.35	7193.85	2897.35
Jul-05	53.80	7635.42	2810.86
Aug-05	55.65	7805.43	2989.06
Sep-05	47.30	8634.48	3125.09
Oct-05	34.75	7892.32	3115.12
Nov-05	44.20	8788.81	3368.32
Dec-05	41.55	9397.93	3742.74
Jan-06	41.20	9919.89	3749.20
Feb-06	37.70	10370.24	3706.30
Mar-06	36.55	11279.96	4030.29

- indicates closing price on last day of month

• **Distribution of Shareholding as on March 31, 2006**

Range	Shareholders		Shares	
	No. of Shares	Numbers	% to Total	% to Total
1 – 500	8711	95.213	633,365	6.51
501 – 1000	243	2.656	197,363	2.03
1001 – 2000	84	0.918	125,985	1.30
2001 – 3000	44	0.481	108,531	1.12
3001 – 4000	21	0.23	76,252	0.78
4001 – 5000	11	0.12	50,947	0.52
5001 – 10000	21	0.23	159,035	1.64
10001 & above	14	0.153	8,374,086	86.10
Total	9149	100	9,725,564	100.00

• **Shareholding Pattern as on March 31, 2006**

Shareholder Category	No. of Shares	%age
1. Promoters	7,639,004	78.55
2. Mindteck Employees Welfare Trust	416,000	4.28
3. Public	1,670,560	17.17
Total	9,725,564	100